GWAMPA MINING (PRIVATE) LIMITED
versus
DGL INVESTMENTS NUMBER FIVE (PVT) LTD
and
EAGLE ITALIAN SHOES (PVT) LIMITED
and
MING CHANG SINO AFRICA MINING INVESTMENT (PVT) LIMITED
and
FUEL AFRICA (PVT) LIMITED
and
WANG KE
and
THE CHIEF REGISTRAR OF COMPANIES & OTHER BUSINESS ENTITIES N.O.

IN THE HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
V NDLOVU J.
HARARE 14 October 2025 & 18 November 2025

Opposed Application

B. Mudhau, for the Applicant.
T. Thomasi, for the 2nd Respondent
S. M. Guwuriro, for the 3rd Respondent
No Appearance for 1st, 4th, 5th & 6th Respondent.

V. NDLOVU J: This is an application where the Applicant seeks an order for rectification of the register of the shareholders pursuant to an unlawful issue and allotment of shares. The application is made under section 162 of the Companies and Other Business Entities Act [*Chapter 24:31*] (hereafter the Act). The 2nd respondent did not oppose the application. It is only the 3rd respondent who opposed the application.

BACKGROUND

The 1st respondent is a mining company that was incorporated on 14 December 2009. At the time, the 1st respondent was incorporated, its stake was owned by the applicant under its former name DGL Investments Number Twenty (Pvt) Ltd, which had a controlling stake, and another

company known as DGL Investments Number Five Mauritius PCC, which was the minority shareholder.

On the 11th day of April in 2017, the applicant entered into an investment agreement with the 2nd respondent, 3rd respondent, and 4th respondent in terms of which, parties agreed to mine claims belonging to the 1st respondent together and pay royalties to the applicant. Further, the parties agreed to bear obligations in respect of their contributions towards the work of the 1st respondent in the form of capital in order to realise the goals of the investment agreement.

Certain conditions and duties were inserted in the agreement. The entire agreement was explicitly subject to the fulfilment of several critical conditions precedent, including the investors assuming a US$4.3 million debt. The applicant was tasked with transferring mining claims from other entities to the 1st respondent. The applicant was also tasked with allotting authorised shares to the parties upon fulfilment of certain conditions, that is;

a. Issue to the 3rd respondent of nine hundred (900) ordinary shares of US$1.00 each, which once issued will constitute forty-five per cent (45%) of the equity in the 1st respondent.

b. Issue to Eagle Italian (2nd respondent) of five hundred (500) ordinary shares of US$1.00 each, which once issued, will constitute twenty-five per cent (25%) of the equity in the first respondent.

c. Issue to Fuel Africa of two hundred (200) ordinary shares of US$1.00 each, which, once issued, will constitute ten per cent (10%) of the equity in the first respondent.

The conditions precedent to this included;

1. Execution of a shareholder's agreement by parties.

2. Payment of *Imviga* creditors.

3. Payment of the loan agreement.

4. Injection of capital towards the mining operations of the 1st respondent.

However, despite the agreement being expressed and explicit in its wording, the directors of the 1st respondent issued and allotted shares to the parties, not the applicant. Further, the shares were allotted despite there being no shareholders' agreement executed, and the capital required had not been paid. The 3rd respondent is accused of failing to contribute its required 56.25% share of capital. The allotment is further tainted by the issuance of unauthorised extra shares and the "patently unlawful" allotment to the 5th respondent, Wang Ke, who was not a party to the agreement.

The applicant contends that these conditions were never met, rendering the agreement and any rights supposedly derived from it a legal nullity. The applicant acknowledges certain payments made by the parties and states that its efforts to ensure that the terms of the agreement are complied with to regularise the deal have been resisted; hence this application.

The 3rd respondent presents a starkly different narrative. It argues that its shares were lawfully allotted after it fulfilled its obligations, including paying the US$4.3 million debt and advancing a US$1.2 million loan, as agreed with the late John Muir, whom it describes as the applicant's alter ego at the time. It contends that the burden of proof lies with the applicant to demonstrate non-payment.

Furthermore, the 3rd respondent claims it has been the primary financial contributor and is solely responsible for running the business, purchasing equipment, and paying employees. It dismisses the applicant's claims as an abuse of the court process, questioning why the applicant waited so long to challenge the share register. It asserts that the applicant has failed to provide any evidence for its allegations, such as proof of the second respondent's purported US$11 million contribution, and has not met the legal requirements for rectification under Section 162 of the Act. The applicant refutes the 3rd respondent's defence as dishonest, unmerited, and unsupported by any evidence.

At the centre of this application is the assertion that shares were unlawfully allotted to the 3rd, 4th, 5th respondents without sufficient cause, fundamentally breaching a 2017 Memorandum of Agreement between the parties and contravening the provisions of the Act. The applicant argues

that the entry of these respondents' names onto the share register was improper from its inception and should be corrected by the court.

RELIEF SOUGHT

1. The application for rectification of the first respondent; namely DGL Number Five (Private) Limited's register of shareholders be and is hereby granted.
2. The, third, fifth or alternatively fourth respondent be and are hereby deleted from the register of the first respondent's register of shareholders.
3. The share certificates in the third, fifth and/or fourth respondents' names showing that third respondent is the holder of one thousand ordinary shares and that fifth and/or fourth respondent is the holder of two hundred ordinary shares in first respondent be and are hereby cancelled.
4. The sixth respondent be and is hereby ordered to delete the names of the third, fifth and/or fourth respondents from the register of shareholders of first respondent.
5. The third, fourth and fifth respondents be and are hereby ordered to jointly and severally one paying the other to be absolved pay costs of this application on the legal practitioner and client scale.

ALTERNATIVELY, it prays for the following:

1. The share certificates in second respondent's name for six hundred ordinary shares in first respondent be and are hereby cancelled.
2. The share certificates in third respondent's name for one thousand ordinary shares in first respondent be and are hereby cancelled.
3. The share certificates in fifth or alternatively fourth respondent's names in respect of two hundred ordinary shareholding in first respondent's name be and are hereby cancelled.
4. Consequently, it is just and equitable and in proportion to the capital injected in first respondent that the shareholder register of first respondent be and is hereby rectified to show that; second respondent is a holder of 60,8 percent of shares being nine hundred and seventy-three ordinary shares in first respondent and that the third respondent is a holder

of 19.1 percent of shares being three hundred and six ordinary shares in first respondent and that second and third respondent jointly or severally, one paying the other to be absolved, pay back a total amount of US$19,963.75 to fifth respondent which fifth respondent paid at the time when two hundred shares were issued to him.

5. The third, fourth and fifth respondents be and are hereby ordered to jointly and severally one paying the other to be absolved pay costs of this application on the legal practitioner and client scale.

PRELIMINARY POINTS

1. **Want of a Board Resolution.**

The applicant at the hearing took a preliminary point that the deponent of the 3rd Respondent's Opposing affidavit did so without being clothed with the Company's authority to represent it. The applicant argues that a resolution clothing the deponent with the necessary authority was not pleaded. The applicant further argued that, notwithstanding the position of the law as enunciated by the Supreme Court in *Dube v Premier Service Medical Aid & Anor* SC 73/19, allowing the production of that authority from the Bar, none was produced and prayed for the matter to be treated as an unopposed matter.

The 3rd respondent argued that it is the Company, not the individual that is litigating. The 3rd respondent further argued that the parties have been negotiating since 2021. It is common cause that the parties have been trying to settle this dispute outside the Court. One can therefore not earnestly contend that the practitioner of the other party has no authority. This is not to condone the 3rd respondent's unnecessary failure or omission to produce the authority when called upon to do so. This back-and-forth does not serve the interests of the litigants and does not resolve the dispute between the parties.

I therefore dismiss the applicant's preliminary point for lack of merit.

2. ***Locus standi***

The 3rd respondent contends that the application was initiated by the Applicant's director, who lacks the authority to act as the appointed representative of the first respondent. Section 162 of

the Companies and Other Business Entities Act [*Chapter 24:31*] provides a framework for the rectification of the company register as follows,

> ***162 Power of court to rectify register***
> *(1) If—*
> *(a) the name of any person is, without sufficient cause, entered in or omitted from the register of members of a company; or*
> *(b) default is made or unnecessary delay takes place in entering on the register the fact of any person having ceased to be a member; the person aggrieved* or *any member of the company or the company may apply to the court for rectification of the register.(my emphasis)*

This provision clearly grants the applicant, as a member of the 1st respondent, the necessary *locus standi* to seek relief from the court. The applicant asserts that he has been aggrieved, thereby fitting within the category of individuals entitled to seek rectification under the law. The preliminary point taken is therefore dismissed as wanting in merit.

3. Material dispute of facts

The dispute between the combatant parties arises from payments. While the Applicant alleges non-payment, the 3rd respondent says they paid. In the case of *Grain Marketing Board* v *Mandizha A* HH 16/14 at page 5 of the judgment, it was reasoned that,

> "A material dispute of fact arises when such material facts put by the applicant are disputed and traversed by the respondent in such a manner as to leave the court with no ready answer to the dispute between the parties in the absence of further evidence"

The court clarified that material disputes of fact arise when assertions made in affidavits, which are crucial to the case's outcome, leave the court uncertain about their truthfulness. In the present case, the court is not confused by the evidence presented. The need for oral evidence is diminished due to the clarity of the documents submitted by the parties. The Court can resolve the matter on the papers. The alleged dispute of fact raised by the third respondent lacks merit. Consequently, the preliminary point regarding the material dispute of facts is dismissed.

4. Prescription

The 3rd respondent argued that the matter has been prescribed because it is based on payments made from 11 April 2017, and that the applicant did nothing about it all along. The applicant

countered, saying this application is not about the recovery of a debt from a due date ascertainable, and pleaded. This matter is a claim for rectification of the 1st respondent's register. The cause of action is a statutory right, and it does not prescribe. See ***Fumia & Anor v Matshiya & Anor.*** HH 31/16 and ***Gafoor N.O & Anor v Vangates Investment P/L & otrs*** 2012[4] SA 281 (SCA).

The 3rd Respondent fails to demonstrate how the prescription is relevant in this context. It does not clarify what exactly has been prescribed. The court should not have to struggle to decipher the meaning of the argument. Consequently, this point is dismissed for lack of merit.

MERITS

ISSUE FOR DETERMINATION

1. Whether or not the 3rd and 5th respondents were entered into the register of the 1st respondent without sufficient cause?

THE LAW

This application is grounded in Section 162 of the Companies and Other Business Entities Act, which stipulates that,

> "(1) If—
> (a) the name of any person is, without sufficient cause, entered in or omitted from the register of members of a company; or
> (b) default is made or unnecessary delay takes place in entering on the register the fact of any person having ceased to be a member; the person aggrieved or any member of the company or the company may apply to the court for rectification of the register.
>
> (2) Where an application is made under this section, the court may either refuse the application or may order rectification of the register and payment by the company of any damages sustained by any party aggrieved.
>
> (3) On an application under this section the court may decide any question relating to the title of any person who is a party to the application to have his or her name entered in or omitted from the register, whether the question arises between members or alleged members or between members or alleged members on the one hand and the company on the other hand, and generally may decide any question necessary or expedient to be decided for rectification of the register.

> (4) The court, when making an order for rectification of the register, shall by its order direct notice of the rectification to be given to the Registrar."

The legal principle that "he who alleges must prove" is well established and has been affirmed in various cases, including *Circle Tracking* v *Mahachi* SC 4/07 and *Goliath* v *Member of the Executive Council for Health, Eastern Cape* 2015 (2) SA 97 (SCA). This principle underscores the requirement for parties to substantiate their claims with adequate evidence. In the absence of such evidence, the court, as the adjudicating authority, cannot arrive at a determination. As noted in *Delta Beverages (Pvt) Ltd* v *Murandu* SC 38/15, it was stated that,

> "I take the time to point out that parties are expected to argue their cases so as to persuade the court to see the merit, if any, in the arguments advanced for them. They are not expected to make bald, unsubstantiated averments and leave it to the court to make of them what it can."

APPLICATION OF THE LAW TO THE FACTS

1. **Whether or not the 3rd and 5th respondents were entered into the register of the 1st respondent without sufficient cause?**

The Applicant in these proceedings ought to show that the concerned respondents were entered into the register of the 1st respondent without sufficient cause. In these proceedings, the court exercises its discretion; thus, the applicant must show facts enough to persuade the court to exercise it in their favour.

In applying this legal framework to the facts of this case, it is undisputed that all parties agreed to the memorandum referenced by the applicant. The allotment and issuance of shares were contingent upon the fulfilment of specific conditions precedent outlined in the Memorandum of Investment Agreement. The parties did not fully contribute to the loan as stipulated in the loan agreement. The conditions precedent outlined in the contract were never fulfilled before the issuance and allotment of shares. The shares were allotted despite the absence of a shareholders' agreement and the required capital not having been paid. The applicant's evidence supports this assertion.

The applicant states that the 3rd respondent did not contribute its share towards the payment of USD 4,300,000.00 owed to *Imviga's* creditors. The applicant states that since 2017, the 3rd respondent has paid only USD 3,629,694.34 toward its obligations to the debtors of *Imviga* and towards working capital. This amount is insufficient compared to the required US$4,300,000.00, among others.

The 3rd respondent claims to have made payments to satisfy these conditions, specifically to John Muir, who it alleges was the applicant's *alter ego,* in 2016 and 2017. The onus of proof lies with the 3rd respondent to demonstrate that it fulfilled its obligation. However, it has not provided any supporting documentation to substantiate this claim.

I am inclined to accept the applicant's assertions because the 3rd respondent has failed to present evidence showing that it fulfilled its contribution obligations. The applicant has submitted receipts and statements, which the 3rd respondent has not disputed, further raising suspicion regarding the veracity of the 3rd respondent's claims. The absence of supporting evidence from the 3rd respondent indicates a failure to substantiate its claims, let alone mount a plausible defence. The 3rd respondent has not provided any proof of payments, relying instead on bare denials. Despite having a royalties agreement in place, there is no indication that the 3rd respondent has made any royalty payments to date as agreed. Additionally, the parties had agreed to enter into a written shareholders' agreement as a further condition precedent, but the 3rd respondent has not produced one.

The Memorandum of Investment Agreement governs the entry of any party into the register of the 1st respondent. The 3rd respondent claims that the 4th respondent sold shares to the 5th respondent; however, no evidence has been presented to the court to substantiate this assertion. It is pertinent to highlight that the Memorandum of Agreement expressly prohibits such actions in Clause 23, which states,

> *"None of the parties shall cede, assign or transfer it rights and obligations under the agreement or the associated agreements to any third party without the prior written*

unanimous consent of the other parties that such consent shall not be unreasonably withheld."

DISPOSITION

The applicant asserts that there was an agreement with specific conditions that needed to be fulfilled, argues that these conditions were not met, and has provided the agreement and bank statements as evidence of amounts received, which clearly demonstrate relevant financial transactions. This evidence is clear, given the documents submitted by the applicant, which stand in stark contrast to the third respondent's mere denials.

The 3rd respondent has failed to submit any counter-evidence that would challenge the applicant's assertions. The court is left with the applicant's documentation, which is coherent and supports his position. The 3rd respondent has failed to provide the necessary evidence to support its position.

The evidence presented clearly demonstrates that the 3rd, 4th and 5th respondents were unlawfully allotted shares without fulfilling the conditions precedent set out in the 2017 Memorandum of Agreement. The court is satisfied that the names of the 3rd, 4th and 5th respondents were entered into the 1st respondent's register without sufficient cause; the application for rectification should be granted.

ORDER

1. The application for rectification of the first respondent; namely DGL Number Five (Private) Limited's register of shareholders be and is hereby granted.
2. The 3rd, 5th and/or 4th respondent be and are hereby deleted from the register of the 1st respondent's register of shareholders.
3. The share certificates in the 3rd, 5th and/or 4th respondents' names showing that 3rd respondent is the holder of one thousand ordinary shares and that 5th and/or 4th respondent is the holder of two hundred (200) ordinary shares in first respondent be and are hereby cancelled.

4. The 6th respondent be and is hereby ordered to delete the names of the 3rd, 5th and/or 4th respondents from the register of shareholders of 1st respondent.
5. The 3rd, 5th and/or 4th respondents be and are hereby ordered to jointly and severally one paying the other to be absolved, pay costs of this application on the legal practitioner and client scale.

Madzima & Company Law Chambers, applicant's Legal Practitioners
Guwuriro & Associates, 3rd respondent's Legal Practitioners

V. NDLOVU J.